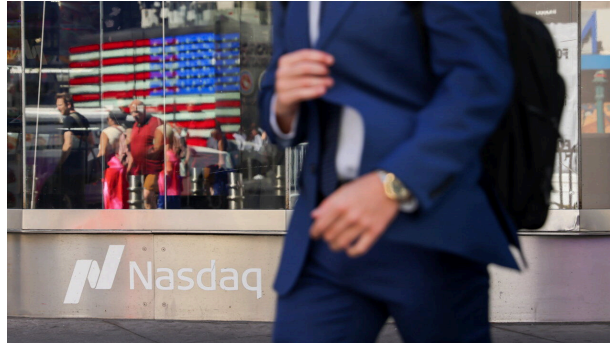


World in Brief: Stock markets fall on AI fears; America and Iran spar over nuclear inspections



Photograph: Getty Images

Global stock markets tumbled as investors worried that American interest rates might rise and that [investment in AI](#) will not generate the profits they expected. The tech-heavy NASDAQ index closed 2.2% lower, dragged down by a chipmaking sell-off; Nvidia's share price sank by more than 4%. Europe's Stoxx 600 and South Korea's KOSPI index closed around 0.7% and 10% lower, respectively.

Donald Trump said **Iran** had agreed to the "highest level" of UN **nuclear-weapons inspections**. Yet hours earlier Iranian officials denied any such agreement had been made during [peace negotiations](#) in Switzerland, and said the country had "no plans" to admit nuclear inspectors. America's president accused Iran of making "false statements", adding that if it did not agree to inspections he would call off the talks.

Israel and **Lebanon** began a fifth round of American-brokered peace talks in Washington. Marco Rubio, America's secretary of state, said the process was "separate" from negotiations on an Iran peace deal. Earlier [Hizbullah](#), an Iran-backed militia, accused [Israel](#) of violating a ceasefire after two people were shot dead in southern

Lebanon; Israel said it was targeting terrorists “operating under civilian cover”.

America’s Supreme Court blocked a Rastafarian man from suing prison guards in Louisiana for cutting his dreadlocks. Rastafarians believe that hair must not be cut; the man alleged his religious rights were violated while he was jailed in 2020. The Trump administration supported his case, but conservative justices argued that federally funded prison staff cannot be individually sued for cash over religious rights.

Energy Fuels, an American miner of **rare-earths**, said it will buy Vacuumschmelze, a German magnet maker, for \$1.9bn. The tie-up is part of America’s effort to build “mine-to-magnet” supply chains [independent of China](#), which dominates the rare-earth market; the country makes over nine-tenths of the magnets needed in everything from electric vehicles to fighter jets. VAC will begin supplying magnets to the Pentagon this year.

At least 40 people drowned in **France** in rivers and canals during a severe **heatwave**. On Monday the country suffered its hottest day on record. Britain and Spain are also experiencing [record-breaking temperatures](#), which have shut schools and disrupted transport. In 2024 Europe recorded more than 60,000 heat-related deaths during a heatwave; this year’s will be even hotter.

Alibaba sued the Trump administration for designating it a “Chinese military company”. The [Chinese e-commerce giant](#) was recently added to a Pentagon blacklist, along with [Baidu](#), a tech titan, for allegedly aiding China’s defence industry. Alibaba asserted that it is governed by an independent board and that the determination, which has “no basis in fact or law”, violated its due-process and free-speech rights.

Figure of the day: 2.6%, America’s personal-saving rate in April, the lowest it has been since banks began collapsing during the

financial crisis in 2008. Read about the [more benign reasons](#) why the rate has been falling.

US in Brief: Two court setbacks for Donald Trump



Photograph: Getty Images

A **federal judge** blocked the Trump administration's effort to create a central database with the **personal data** of [American voters](#), including their social-security numbers and the status of their citizenship. In March 2025 Donald Trump signed an executive order requiring federal agencies to collate the data to prevent supposed fraud in elections. The judge said officials had “knowingly trampled” on privacy rights.

Meanwhile, another federal judge thwarted the **Justice Department's** attempt to subpoena Minnesota's Democratic governor, **Tim Walz**, and other state officials. The department issued the subpoenas in January because, it claimed, Mr Walz had obstructed federal immigration agents as they [carried out raids in the state](#). The judge called the subpoenas a “blatantly unlawful” use of the grand-jury process.

Mr Trump signed two executive orders aimed at expanding America's capabilities in **quantum computing**. One called on government agencies to lead the development of new technologies, such as a quantum computer that can conduct scientific research; the other instructed agencies to draw up plans to protect government systems from quantum cyber-attacks. America is

seeking to maintain an [edge over China](#) in the emerging technology.

The House of Representatives energy committee reached “bipartisan agreement” on the **Kids Internet and Digital Safety Act**, a series of bills that would tighten regulation of childrens’ social-media use. Congress may not pass it: senators are drafting a rival version of the legislation. Tech bosses have opposed previous attempts to police kids’ safety online, arguing that they would violate free-speech rights.

Britain loses its head



Photograph: Getty Images

Andy Burnham, the Labour Party’s “king of the north”, is back in Parliament, having left nine years ago to become mayor of Greater Manchester. He has returned as a [prime minister-in-waiting](#); Sir Keir Starmer’s announcement of his resignation on Monday has set up a contest that looks likely to be a coronation. Mr Burnham could be in Downing Street as soon as mid-July.

He will face many of the same problems that his predecessor did. Sir Keir lost the confidence of Labour MPs, who now have a taste for rebellion. Mr Burnham will come under pressure to take the government in a more leftist direction, not least to combat the rise of the left-populist Green Party. For now his biggest attribute is that he seems like a winner. That will put him in a tricky position if his popularity declines sharply, as has happened for every recent prime minister.

The anxieties of European business



Photograph: AP

Investors in European stock markets breathed a sigh of relief when America and Iran agreed to end hostilities. Their truce [already seems shaky](#). But at least America has signalled intent to bring energy prices down. Flash figures for June released on Tuesday by S&P Global, a financial-information firm, suggest that the euro zone's economic downturn is easing. The purchasing-managers' index stood at 49.5, a whisker below the stagnation mark of 50, but up from 48.5 in May. Most of the responses had been recorded before news of the Iran peace deal.

In April industrial production had yet to take a hit, to the surprise of many. Overall, sentiment in the manufacturing sector has held up well; the latest numbers signal another month of modest growth in output. The rebound in June mostly came from the services sector, which had previously taken the largest hit from the war as inflation discouraged household spending. While still high, price pressures are slowly subsiding.

Amazon primes consumers to spend



Photograph: Getty Images

Amazon began its annual Prime Day sales on Tuesday. Over four days, the e-commerce giant will try to entice its customers, especially in America, to spend lots. Despite their [gloomy views of the economy](#), American shoppers have continued swiping their cards. Amazon's sales hit \$104bn in the first three months of 2026 in North America, a 12% rise over the previous year. But much of that growth came from discounted items, making events like Prime Day all the more important.

A successful round of sales will help Amazon swat away Walmart, a rival that has launched a late June sale to compete with Prime Day. Walmart hopes the switch will help it take back the title of America's largest firm by revenue from Amazon. The two are competing to offer steeper price cuts, speedier returns, more brands and expanding into services, including health care. With June's sales each will hope to score a knockout at the checkout.

A test for Zohran Mamdani



Photograph: Bloomberg via Getty Images

New York holds primary elections on Tuesday, and a few Democratic congressional races have attracted national attention and millions of dollars in spending by outside groups. Different AI companies have poured money into both opposing and, confusingly, supporting a candidate who advocates regulating the technology more strictly. Mike Bloomberg, the city's billionaire former mayor, spent \$10m backing another candidate, a former staffer. John F. Kennedy's grandson is in the mix. And that is just one race.

One person connecting several competitive primaries is Zohran Mamdani. The leftist new mayor has upended races in the Bronx, Brooklyn and Queens [by endorsing insurgent challengers](#), who are running as democratic socialists. For them the lesson for the Democrats of past defeats is not to moderate, but to charge the barricades. Strident opposition to Israel unites them. The results could establish Mr Mamdani as a kingmaker, or cause the Democratic Party to tear itself apart.

Can India weather its weakened monsoon?



Photograph: Getty Images

Last week, officials in Mumbai restricted water access after the reservoirs around India's financial capital dwindled to just 10% of capacity. It was a great relief, then, when the first fat drops of rain fell on Sunday. The India Meteorological Department is expected to officially announce the monsoon's arrival in Mumbai by Tuesday at the latest.

It will probably be too little, too late. This summer's monsoon, which has already begun elsewhere, is unusually weak: nationwide rainfall has been almost 40% lower than the June average. That is bad news for the hundreds of millions of Indians whose livelihoods depend on farming, and for the economy, which will see food inflation spiral just after the Iran war hit energy prices. The most likely culprit is El Niño, a recurring climatic pattern that drives up temperatures and alters the distribution of rainfall. The one just begun [appears particularly strong](#): a gloomy forecast for one of the world's largest agricultural producers.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Tuesday: The singer Concetta Rosa Maria Franconero went under which stage name?

Monday: Those born between July 23 and August 22 are generally associated with which Zodiac sign?

*Sometimes it is the people no one
imagines anything of who do the
things that no one can imagine.*

Alan Turing